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IN THE DISTRICT COURT OF APPEAL OF FLORIDA
THIRD DISTRICT

Case Nos. 3D2026-1361 and 3D2026-1467 (consolidated)
L.T. Case No. 2024-17049-CA-01 (consolidated with 2025-004055-CA-01)

SRCTD 44-200 LLC and FS EQUITY INVESTMENTS II LLC,
Appellants,

v.

AFF IV 200 MIAMI, LLC,
Appellee.

On Appeal from the Circuit Court of the Eleventh Judicial Circuit
in and for Miami-Dade County, Florida
The Honorable Joseph Perkins, Circuit Judge

APPELLANTS' INITIAL BRIEF

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PRELIMINARY STATEMENT

Appellants SRCTD 44-200 LLC and FS Equity Investments II LLC are the borrowers on the loan at issue. This brief calls them "the Borrowers." Appellee AFF IV 200 Miami, LLC is the lender, called "Lender."

"R." refers to the record on appeal by page number." Tr." refers to the transcript of the November 17, 2025 summary judgment hearing. "SJ Notice Ex." refers to the exhibits to Defendants' Notice of Filing and Intent to Rely Upon Summary Judgment Evidence, filed October 24, 2025. The Loan and Security Agreement (SJ Notice Ex. 3) is the "Loan Agreement."

JURISDICTIONAL STATEMENT

This Court has jurisdiction under Florida Rule of Appellate Procedure 9.030(b)(1)(A) to review final orders of the circuit court. The order on appeal is the Stipulated Final Judgment of Foreclosure entered June 11, 2026. (R. 3323-3331.) It adjudicates Lender's foreclosure claim against the Borrowers, fixes the amount due, orders a judicial sale of the properties, and forecloses the Borrowers' interests upon the filing of the certificate of sale. (Final J. ¶¶ 3, 6, 11; R. 3324, 3327, 3328.) The trial court designated it a "Final Order as to All Parties" and directed that the case be closed. (Final J. at 8; R. 3330.) The Borrowers expressly reserved the right to appeal the Final Judgment and all prior orders, "including, without

limitation, the partial summary judgment order entered January 27, 2026." (Joint Stip. ¶ 3; Final J. ¶ 14; R. 2894, 3329.) The January 27, 2026 Order is reviewable on appeal from the Final Judgment. Fla. R. App. P. 9.110(h). SRCTD filed its notice of appeal on June 25, 2026, and FS Equity filed its notice on July 8, 2026, each within 30 days of rendition. Fla. R. App. P. 9.110(b). (R. 3303-3320.)

STATEMENT OF THE CASE AND FACTS

A. The Loan and Lender's reserve obligations

In May 2022, the Borrowers bought two downtown Miami office buildings, at 200 SE 1st Street and 44 West Flagler Street, with financing from Lender. (SJ Notice Exs. 1-3; R. 4424-4533.) The $58,359,324 Note, the Mortgage, and the Loan Agreement are dated May 6, 2022. (SJ Notice Exs. 1-3; R. 4424-4533.) Lender knew the Borrowers' business plan: to invest in the buildings, raise rents, and increase their value. (Wimmer Dep. at 220:3-5, SJ Notice Ex. 26; Fowler Dep. Vol. 1 at 51:15-21, SJ Notice Ex. 16; R. 7582; 4929.) So the parties structured the Loan to fund that plan. Lender held back $16,064,691 of loan proceeds in a "Holdback Reserve" and agreed to "advance Holdback Reserve Funds from time to time (but not more often than monthly) for the payment of costs and expenses incurred by Borrower in performing the CapEx Work . . . including, without

limitation, the costs of Leasing Commissions and/or the costs of TI Allowances." (Loan Agreement § 3.1(3), SJ Notice Ex. 3; R. 4470.)

Lender also held a Tax and Insurance Reserve and agreed that, once the Borrowers furnished the tax bills they wanted paid, Lender would "pay (or provide Borrower with Tax and Insurance Reserve Funds to pay)" them. (Loan Agreement § 3.1(1); R. 4469.)

Section 12.21 of the Loan Agreement, which Lender drafted, governs claims against Lender. (Handelsman Decl., Opp. Ex. 2; Tr. 28:9-25; R. 1826, 2475.) Subsection (1), titled "Contractual Statute of Limitations," provides:

> Lender shall not be in default under this Agreement, or under any other Loan Documents, unless a written notice specifically setting forth the default claimed by Borrower shall have been given to Lender within six (6) months after Borrower first had knowledge of the occurrence of the event which Borrower alleges gave rise to such claimed default and Lender does not remedy or cure the default, if any default actually exists, promptly thereafter. Borrower waives any claim, set-off or defense against Lender arising by reason of any alleged default by Lender as to which Borrower does not give such notice timely as required by this Section 12.21 and, in any event, within six (6) months after the Maturity Date or earlier repayment of the Loan. . . .

(Loan Agreement § 12.21(1); R. 4505-4506.) The clause does not require a letter, a particular form, a particular recipient, or the words "notice of

default." It requires a writing that "specifically set[s] forth the default claimed." (*Id.*)

Subsection (2) addresses one kind of claim: a claim "that Lender . . . has acted unreasonably or unreasonably delayed acting in any case where by law or under any Loan Document, Lender . . . has an obligation to act reasonably or promptly." (Loan Agreement § 12.21(2); R. 4506.) For that kind of claim, Lender is not "liable for any monetary damages," and the borrower's "sole remedy shall be to commence an action seeking injunctive relief or declaratory judgment." (*Id.*)

B. Lender withholds the reserves, and the Borrowers complain to Lender in writing and by phone

Lender never released a dollar of the Holdback Reserve. Ms. Fowler, Lender's asset manager on the Loan, admitted: "We did not fund on TI or LC, no. Q. Or the Cap X reserve? A. No." (Fowler Dep. Vol. 1 at 60:1-12, SJ Notice Ex. 16; R. 4938.) Lender's own investment-committee memos reported each quarter that "[n]o draws have been made from the TI/LC reserve." (Callaghan Dep. at 47:10-18, 60:13-19, SJ Notice Ex. 25; R. 7184, 7197.) Meanwhile, the Borrowers spent more than $2.6 million of their own money on capital work, leasing commissions, and tenant improvements. (Opp. at 8; Handelsman Dep. Vol. 1 at 257:25-258:10, 266:8-19, SJ Notice Ex. 20; R. 1794; 5934-5935, 5943.)

The Borrowers told Lender about these problems, repeatedly and in writing. On December 25, 2022, Mr. Handelsman wrote to Ms. Fowler and Mr. Sullivan: "We are looking at the Cap X draw down and the TI and LC draw down. Please provide what is needed and we'll send it over." (Fowler Dep. Vol. 1 at 65:1-66:20; R. 4943-4944.) On December 27, 2022, the Borrowers asked Lender to release the Tax and Insurance Reserve to pay a $1,042,608.13 tax bill: "Please let me know how we can get the funds held by you released to get this paid." (*Id.* at 78:1-14; SJ Notice Ex. 47; R. 4956, 8939-8945.) The same day, Mr. Handelsman wrote to Ms. Fowler: "In the meantime we have a tax escrow specifically to pay taxes. Why this is a problem?" and "We have yet to get a single drawdown. If we have to keep coming out of pocket, then why should we pay for a reserve we never got?" (Handelsman Dep. Vol. 1 at 143:12-22, 144:15-22; SJ Notice Ex. 50; R. 5820-5821, 8962-8966.) Two days later, the Borrowers sent Ms. Fowler a signed lease, a leasing-commission invoice, and a tenant-improvement estimate for a new tenant, DGA Security. (Fowler Dep. Vol. 2 at 35:13-24, SJ Notice Ex. 17; SJ Notice Ex. 50; R. 5179, 8962-8966.) Lender released only $660,370.16 toward the tax bill, and the Borrowers covered the rest. (Fowler Dep. Vol. 1 at 82:17-24; R. 4960.) It never funded the DGA tenant improvements or commissions. (Handelsman Dep. Vol. 1 at 157:5-8; R.

5834.)

The written complaints continued through 2023. On February 10, 2023, Mr. Handelsman sent Ms. Fowler and Ms. Callaghan a list of completed capital improvements, ending: "All this without a single drawdown." (Callaghan Dep. at 108:16-109:24; R. 7245-7246.) On April 27, 2023, he objected in writing that money "has been sitting in reserves and our reserves have been cut off," and Ms. Fowler responded in writing, acknowledging that "the market is stating we are not funding." (Handelsman Dep. Vol. 2 at 352:21-354:3, SJ Notice Ex. 21; R. 6087-6089.) On May 23, 2023, he wrote: "Two new leases getting signed as we speak. We'll be funding them out of our pocket, as well." (Handelsman Dep. Vol. 2 at 372:24-373:8-6; Fowler Dep. Vol. 2 at 88:7-22; R. 6108, 5232.) And on August 10, 2023, he wrote to Ms. Fowler:

> We have made every payment on time, have signed over 30,000 square feet without a dollar from you in TI, or CapEx, or LC, and you, against the loan documents, cut our IR off and insurance reserve, and we still never missed a payment. . . . I have tried speaking to you many times to work it out and have never gotten anywhere . . . . Why is it always a one-way street.

(Fowler Dep. Vol. 2 at 100:4-18; R. 5244.) Ms. Fowler answered that email in writing. (*Id.* at 100:23-101:25.) On September 4, 2023, Mr. Handelsman wrote again: "We have a few leases on the table that we really need to fund

asap on commissions and TI . . . . I am asking from you is to just back us and give us the drawdowns per the loan." (Handelsman Dep. Vol. 1 at 254:5-255:9; Fowler Dep. Vol. 2 at 111:3-112:1; R. 5931-5932, 5255-5256.)

The Borrowers also complained by phone and in person, and Lender's witnesses admitted it. Asked whether she remembered the Borrowers "complaining" that they were paying interest on an insurance reserve Lender was not using to pay insurance, Ms. Fowler answered: "I do." (Fowler Dep. Vol. 1 at 87:23-88:19; R. 4965-4966.) She recalled "having conversations with him about [draw requests] multiple times." (*Id.* at 65:1-66:20; R. 4943-4944.) She testified that her email exchanges with Mr. Handelsman routinely moved to the phone "to kind of walk through what the process was," and that this "happened routinely between the two of [them]." (Fowler Dep. Vol. 2 at 75:3-21; R. 5219.) Lender's corporate representative testified that "Michelle and Jake routinely would get on the phone and discuss this after these types of emails." (Wimmer Dep. at 378:6-16, SJ Notice Ex. 26; R. 7740.) Lender's CEO testified that "the claims of us not funding and the whole thing about the payoff" reached him: "I was getting those calls." (Shulman Dep. at 77:17-78:8, SJ Notice Ex. 19; R. 5644-5645.) Mr. Handelsman described a conversation at the end of 2022 in which Lender made "very clear to me there is no money to be

released in TI/LC." (Handelsman Dep. Vol. 1 at 79:6-80:14; R. 5756-5757.)

C. Lender delays the payoff while the Borrowers try to refinance

In June 2023, the Borrowers signed a term sheet with Urban Standard Capital for a refinancing that would have paid off the Loan. (SJ Notice Ex. 42; R. 8899-8905.) Mr. Handelsman told Ms. Fowler in writing on June 13 that the Borrowers were "requesting a payoff for the 15th of next month," and on June 16 asked whether the payoff had been ordered. (Fowler Dep. Vol. 2 at 59:11-17; SJ Notice Exs. 38-40; R. 5203, 8882-8894.) Ms. Fowler knew about the refinancing; she was in direct contact with the new lender. (Fowler Dep. Vol. 1 at 110:14-111:3; R. 4988-4989.) When she learned that the refinancing would pay off the Loan, she wrote to the prospective lender: "The yield on this one is so good for the fund, but if we have to lose it, I love that it would go to friends." (*Id.* at 126:5-17; R. 5004.) She added: "I'm not mad if I get to keep collecting my interest either." (*Id.* at 127:3-11; R. 5005.) She also wrote that "[c]ry baby borrowers are my favorite," and admitted she meant Mr. Handelsman. (*Id.* at 128:22-129:11; R. 5006-5007.)

Lender did not send a payoff letter until the Borrowers' counsel demanded one on September 21, 2023. (SJ Notice Exs. 41, 49; R. 8895-8898, 8955-8961.) Counsel's email attached "correspondence evidencing

these payoff requests." (Fowler Dep. Vol. 2 at 123:2-15; R. 5267.) Lender sent the payoff letter the next day, more than three months after the Borrowers first told Lender they were seeking a payoff. (SJ Notice Ex. 41; Fowler Dep. Vol. 1 at 119:3-120:4; R. 8895-8898, 4997-4998.)

D. The default, the foreclosure, and the counterclaims

The Borrowers made every interest payment through December 2023. (Fowler Dep. Vol. 1 at 159:22-160:22; R. 5037-5038.) Late in 2023, Mr. Handelsman asked Ms. Fowler about restructuring the Loan. She told him that Lender does "not restructure or go into forbearance with performing loans." (*Id.*) The Borrowers then missed the January 2024 interest payment, and the parties began workout discussions. (*Id.*; SJ Notice Ex. 51; R. 8967-8975.) The Loan matured on June 1, 2024 without being repaid. (Order ¶ 1; R. 3333.)

Lender sued to foreclose. (R. 57-201.) The Borrowers answered, asserted affirmative defenses including prior breach, waiver, estoppel, failure to mitigate, and unclean hands, and counterclaimed for breach of the Loan Agreement (Count I), breach of the implied covenant of good faith and fair dealing (Count II), tortious interference with a business relationship (Count III), unjust enrichment (Count IV), and violation of section 701.04, Florida Statutes (Count V). (R. 589-623.) Counts I and II alleged that

Lender breached Sections 2.3(5) (prepayment), 3.1(1) (tax reserve), 3.1(3) (holdback reserve), and 6.18 (lease approvals). (R. 617-618; Opp. at 5.)

E. The summary judgment motion and the January 27, 2026 Order

Lender moved for summary judgment on its claims and on all the counterclaims. (R. 1594-1627.) As to Counts I and II, Lender made one argument: the Borrowers "never provided Plaintiff with written notice" under Section 12.21(1). (Mot. at 17; R. 1610.) It also argued that Section 12.21(2) barred "Borrower's request for monetary damages." (*Id.* at 18.) The Borrowers opposed. They showed that Lender withheld the reserves, obstructed lease approvals, and delayed the payoff, and that Mr. Handelsman "repeatedly complained to Lender's representative about all of these issues," so Lender had actual notice. (Opp. at 4-12, 14-15; R. 1790-1798, 1800-1801.) They argued that Section 12.21(2) reaches only claims of unreasonable conduct, not the intentional, bad-faith conduct they alleged. (*Id.* at 30-31; R. 1816-1817.)

At the hearing, the trial court framed the dispute as whether the Borrowers' evidence showed "substantial compliance with 12.21," since there was "no formal default letter." (Tr. 54:9-55:4; R. 2501-2502.) It then reviewed a handful of the Borrowers' citations, noted that Ms. Fowler "remembers them complaining," and ruled: "There's no mention of a default

letter. . . . the facts here are nowhere near creating an issue of fact as to applicability of 12.21." (Tr. 64:12-65:14; R. 2511-2512.) After FS Equity's counsel pointed to the September 21, 2023 counsel letter, the court carved out the payoff issue: "a letter from an attorney . . . a Jury might look at that or a fact finder might look at that and think that it complies. Maybe it doesn't. . . . but not something that I can address as a matter of law today." (Tr. 78:19-79:24; R. 2525-2526.) Lender's counsel asked whether, outside the payoff letter, the Borrowers could raise Lender's "other alleged bad conduct." The court answered: "Correct" (they could not). (Tr. 82:8-15; R. 2529.) The court applied the same ruling to the Borrowers' prior-breach defense, ruling that the defense was "denied in part only to the extent of defense. Factually, it's based on the prior, the payoff letter request." (Tr. 121:18-24; R. 2568.) When Lender's counsel summarized, "Payoff-related defenses survive," the court agreed: "With respect to prior breach, so right, but otherwise, your motion is granted." (Tr. 127:6-12; R. 2574.)

On unjust enrichment, the trial court turned to Section 12.21(2) and ruled that it was "an express contract that covers the subject matter," so that "a claim for unjust enrichment, whether it's interest, whether, you know, for damages, squarely falls within this paragraph." (Tr. 85:2-12, 109:10-111:14; R. 2532, 2556-2558.)

The written order followed on January 27, 2026. It granted Lender summary judgment on Counts I and II "as it relates to all other claims of alleged breach or wrongdoing by Plaintiff unrelated to the Payoff Letter Issue," denying it "only to the extent that there is a genuine issue of material fact regarding whether the September 21, 2023 payoff letter request by Borrowers' counsel to Plaintiff constitutes notice of default to Plaintiff pursuant to Section 12.21(1)." (Order ¶ 3; R. 3333-3334.) It granted summary judgment on Count IV, denied it on Counts III and V, and denied it "IN PART only to the extent that it relates to the Payoff Letter Issue" on the Borrowers' prior-breach, waiver, estoppel, mitigation, unclean hands, and unjust enrichment defenses. (Order ¶¶ 4-7; R. 3334.) It also granted Lender partial summary judgment on certain undisputed facts, including the missed payments. (Order ¶ 1; R. 3333.) The Order rests on "the reasons stated by the Court on the record." (Order at 2; R. 3334.)

F. The stipulated final judgment and the reservation of appellate rights

On June 7, 2026, the Borrowers and Lender stipulated to entry of a final judgment of foreclosure. (R. 2893-2904.) The Borrowers expressly reserved "all rights to appeal the Stipulated Final Judgment and all orders entered before the entry of this Stipulated Final Judgment, whether interlocutory or otherwise, including, without limitation, the partial summary

judgment order entered January 27, 2026." (Joint Stip. ¶ 3; R. 2894.) The stipulation provides that "[n]othing in this Stipulation or the Stipulated Final Judgment of Foreclosure, including without limitation its stipulated nature, waives, limits, or impairs any right of Defendants to take any such appeal." (*Id.*) The trial court entered the Stipulated Final Judgment of Foreclosure on June 11, 2026, incorporating the stipulation and the same reservation. (Final J. ¶ 14; R. 3329.)

SRCTD timely appealed on June 25, 2026, and FS Equity timely appealed on July 8, 2026. (R. 3303-3320.) This Court consolidated the appeals.

SUMMARY OF THE ARGUMENT

The trial court threw out the heart of the Borrowers' case on a single ground: that they never sent Lender a "formal default letter" under Section 12.21(1) of the Loan Agreement. But Section 12.21(1) does not require a formal default letter. It requires "a written notice specifically setting forth the default claimed." The record contains many such writings. Beginning in December 2022, the Borrowers wrote to Lender's asset manager, again and again, that Lender had not released "a single drawdown" from the $16 million Holdback Reserve, that it would not release the tax reserve, and that it had, "against the loan documents, cut our IR off and insurance

reserve." Lender's own witnesses admitted they received and discussed these complaints. Under Rule 1.510, that evidence created, at a minimum, a genuine dispute for the fact finder. The trial court recognized as much for the one writing that came from a lawyer, but it refused to treat the Borrowers' own writings the same way. That was error, and it requires reversal of the summary judgment on Counts I and II (Issue I).

The trial court applied the same Section 12.21(1) ruling to the Borrowers' prior-breach defense, holding that the Borrowers could not rely on any of Lender's conduct other than the payoff letter. That ruling eliminated the Borrowers' principal defense to foreclosure. The Borrowers then consented to a foreclosure judgment while expressly reserving their right to appeal it. Because the ruling was wrong, the Final Judgment should be vacated (Issue II).

Finally, the trial court erred in entering summary judgment on the unjust enrichment counterclaim under Section 12.21(2). That clause limits damages for one kind of claim: that Lender "acted unreasonably or unreasonably delayed acting." The unjust enrichment claim does not so assert. And Florida law does not let a party contract away liability for its own intentional misconduct, which is what the Borrowers alleged and supported with evidence. A remedy-limitation clause is not an express

contract "concerning the same subject matter" as the benefit the Borrowers conferred (Issue III).

ARGUMENT

I. The trial court erred in entering summary judgment on Counts I and II, because the record creates a genuine dispute over whether the Borrowers gave Lender the notice Section 12.21(1) requires.

A. Standard of review

This Court reviews a summary judgment *de novo*. *Volusia County v. Aberdeen at Ormond Beach, L.P.*, 760 So. 2d 126, 130 (Fla. 2000). Contract interpretation is also reviewed *de novo*. *Megacenter US LLC v. Goodman Doral 88th Court LLC*, 273 So. 3d 1078, 1083 (Fla. 3d DCA 2019). Under amended Rule 1.510, "the correct test for the existence of a genuine factual dispute is whether 'the evidence is such that a reasonable jury could return a verdict for the nonmoving party.'" *In re Amends. to Fla. Rule of Civ. Proc. 1.510*, 317 So. 3d 72, 75 (Fla. 2021) (quoting *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986)). In applying that test, "[c]redibility determinations, the weighing of the evidence, and the drawing of legitimate inferences from the facts are jury functions, not those of a judge . . . ." *Anderson*, 477 U.S. at 255. "The evidence of the nonmovant is to be believed, and all justifiable inferences are to be drawn in his favor." *Id.* Courts "may not resolve genuine disputes of fact in favor of the party

seeking summary judgment." *Tolan v. Cotton*, 572 U.S. 650, 656 (2014).

The Borrowers preserved this issue. They argued below that Lender had actual notice of the defaults and that strict compliance with the notice clause was not required. (Opp. at 14-15; Tr. 54:9-55:4, 57:15-61:9, 65:22-67:3; R. 1800-1801; 2501-2502, 2504-2508, 2512-2514.)

B. Section 12.21(1) requires a written notice that specifies the default, not a formal default letter.

The analysis starts with the text. Section 12.21(1) provides that Lender is not in default "unless a written notice specifically setting forth the default claimed by Borrower shall have been given to Lender within six (6) months after Borrower first had knowledge of the occurrence of the event." (Loan Agreement § 12.21(1); R. 4505-4506.) The clause has three requirements: (1) a writing, (2) that specifically sets forth the default claimed, (3) given to Lender within six months. It says nothing about a letter, a formal "notice of default," a particular delivery method, or particular words. Lender knew how to require a particular form when it wanted one; the Loan Agreement has a separate notice section. (Loan Agreement § 12.1; R. 4500-4501.)

The trial court nonetheless treated the absence of "a formal default letter" as decisive. (Tr. 54:9-55:4, 64:12-65:14; R. 2501-2502, 2511-2512.) It reasoned that "[t]here's no mention of a default letter" in the Borrowers'

evidence. (Tr. 64:12-65:14.) That reasoning added a requirement the parties did not write. The clause asks whether the Borrowers' writings "specifically set[] forth the default claimed," not whether they used the word "default" or arrived on letterhead.

Two settled rules confirm the point. First, Section 12.21(1) operates as a forfeiture: a borrower that misses its terms "waives any claim, set-off or defense." (Loan Agreement § 12.21(1).) "It is well established that both equity and the law abhor forfeitures . . . ." *Sharpe v. Sentry Drugs, Inc.*, 505 So. 2d 618, 618 (Fla. 3d DCA 1987). A court should not expand a forfeiture clause beyond its words. Second, Lender drafted the Loan Agreement. (Handelsman Decl., Opp. Ex. 2; R. 1826.) "An ambiguous term in a contract is to be construed against the drafter." *City of Homestead v. Johnson*, 760 So. 2d 80, 84 (Fla. 2000). If "written notice specifically setting forth the default claimed" could be read to demand a formal default letter, it could just as easily be read not to, and the ambiguity must be resolved against Lender.

Even where a contract does prescribe the form and method of notice, this Court does not demand strict compliance when the other side actually received notice. "Under Florida law, strict compliance with a notice provision is not required if one of the parties . . . has actual notice."

Megacenter, 273 So. 3d at 1084. In *Megacenter*, the contract required a buyer to deliver written notice of termination by mail, hand delivery, courier, or fax to the seller, with a copy to counsel. The buyer instead emailed only the seller's counsel at 5:00 p.m. on the last day. This Court held that the buyer's "substantial compliance with the notice provision was sufficient," because the seller received the email and "had actual notice." *Id.* at 1083. This Court explained that prescribed delivery methods exist "so that a party cannot claim it never received notice." *Id.* at 1084. That concern is absent where, as here, the recipient admits receiving the complaints.

C. The record contains written notices that specifically set forth Lender's defaults.

Viewed in the light most favorable to the Borrowers, the record contains written notices that satisfy Section 12.21(1) on its own terms.

The December 2022 writings. The summary judgment record contains the December 2022 email chains between the Borrowers and Ms. Fowler, which the Borrowers cited below. (SJ Notice Exs. 47, 50; Opp. at 7-8, 16-18; R. 8939-8945, 8962-8966; 1793-1794, 1802-1804.) In them, the Borrowers requested the Holdback Reserve draws, demanded release of the tax reserve to pay the $1,042,608.13 tax bill, and complained: "In the meantime we have a tax escrow specifically to pay taxes. Why this is a problem?" and "We have yet to get a single drawdown. If we have to keep

coming out of pocket, then why should we pay for a reserve we never got?" (Handelsman Dep. Vol. 1 at 143:16-22, 144:15-22; Fowler Dep. Vol. 1 at 65:1-66:20, 78:1-14; R. 5820-5821; 4943-4944, 4956.) Two days later the Borrowers sent Ms. Fowler a signed lease, a commission invoice, and a tenant-improvement estimate for DGA Security, which Ms. Fowler herself treated as a request to draw. (Fowler Dep. Vol. 2 at 35:13-36:6; R. 5179-5180.) These writings identify specific obligations (Sections 3.1(1) and 3.1(3)) and Lender's specific failure to perform them. They came within weeks of the events.

The 2023 writings. The complaints continued in writing through 2023. In February, the Borrowers listed their capital work and wrote, "All this without a single drawdown." (Callaghan Dep. at 108:16-109:24; R. 7245-7246.) In April, they wrote that "our reserves have been cut off." (Handelsman Dep. Vol. 2 at 352:21-354:3; R. 6087-6089.) In May, they wrote that they were funding new leases "out of our pocket." (Fowler Dep. Vol. 2 at 88:7-22; R. 5232.) In August, they wrote that they had "signed over 30,000 square feet without a dollar from you in TI, or CapEx, or LC, and you, against the loan documents, cut our IR off and insurance reserve." (*Id.* at 100:4-18.) In September, they asked Lender to "give us the drawdowns per the loan." (Handelsman Dep. Vol. 1 at 254:5-255:9; R.

5931-5932.) And on September 21, 2023, the Borrowers' counsel wrote that the Borrowers' payoff requests had gone unanswered, attaching the earlier correspondence. (SJ Notice Ex. 49; Fowler Dep. Vol. 2 at 123:2-15; R. 8955-8961; 5267.)

The August 10, 2023 email alone defeats summary judgment. It is a writing. It was sent to Lender's asset manager, who answered it in writing. (Fowler Dep. Vol. 2 at 100:23-101:25; R. 5244-5245.) It identifies the defaults with specificity: no funding of tenant improvements, capital expenditures, or leasing commissions, and the cutoff of the interest and insurance reserves. And it says, in terms, that Lender acted "against the loan documents." A reasonable factfinder could find that this email is "a written notice specifically setting forth the default claimed by Borrower." Whether a party gave adequate notice under a contract is ordinarily a question of fact. *See Laquer v. Citizens Prop. Ins. Corp.*, 167 So. 3d 470, 474 (Fla. 3d DCA 2015) (reversing partial summary judgment and holding that "the issue of whether an insured provided 'prompt' notice generally presents an issue of fact").

The trial court's own ruling on the payoff letter shows why. The court held that a factfinder "might look at" the September 21, 2023 letter from the Borrowers' counsel "and think that it complies," and so it denied summary

judgment on that theory. (Tr. 78:19-79:24; R. 2525-2526.) But nothing in Section 12.21(1) distinguishes a notice written by a lawyer from a notice written by the borrower's principal. If a factfinder could find that counsel's payoff email satisfied Section 12.21(1), a factfinder could find the same of Mr. Handelsman's written complaints about the reserves. The court drew a line the contract does not draw.

D. Lender had actual notice of every default the Borrowers claim.

Independently, the record shows that Lender had actual notice, which is enough under *Megacenter*. Ms. Fowler admitted that she remembered the Borrowers "complaining" that they were paying interest on an insurance reserve Lender was not using to pay their insurance. (Fowler Dep. Vol. 1 at 87:23-88:19; R. 4965-4966.) She recalled "having conversations with him about [draw requests] multiple times." (*Id.* at 65:1-66:20; R. 4943-4944.) Mr. Handelsman testified that Lender told him at the end of 2022 that "there is no money to be released in TI/LC." (Handelsman Dep. Vol. 1 at 79:6-80:14; R. 5756-5757.) The Borrowers cited each of these passages below. (Opp. at 14-15; R. 1800-1801.)

The rest of the summary judgment record confirms Lender's knowledge. Ms. Fowler testified that her email exchanges with Mr. Handelsman routinely turned into phone calls about the reserves. (Fowler

Dep. Vol. 2 at 75:3-21; R. 5219.) Lender's corporate representative testified that "Michelle and Jake routinely would get on the phone and discuss this after these types of emails." (Wimmer Dep. at 378:6-16; R. 7740.) Lender's CEO heard "the claims of us not funding and the whole thing about the payoff." (Shulman Dep. at 77:17-78:8; R. 7740.) Ms. Callaghan discussed releasing the reserves with Ms. Fowler and Mr. Sullivan. (Callaghan Dep. at 94:2-10, 95:7-24; R. 7231-7232.) And Ms. Fowler's own writings to third parties ("The yield on this one is so good for the fund"; "I'm not mad if I get to keep collecting my interest"; "[c]ry baby borrowers are my favorite") show that Lender knew precisely what the Borrowers were complaining about. (Fowler Dep. Vol. 1 at 126:5-17, 127:3-11, 128:22-129:11; R. 5004-5007.)

The purpose of a notice-and-cure clause is to tell the lender what it has done wrong so it can fix the problem before litigation. Lender knew. It did not cure. It never released a dollar of the Holdback Reserve. (Fowler Dep. Vol. 1 at 60:1-12; R. 4938.) Lender cannot use a notice clause to escape liability for defaults it knew about and chose not to fix.

E. The trial court weighed the evidence instead of asking whether a jury could find for the Borrowers.

The trial court acknowledged that Ms. Fowler "remembers them complaining," but concluded that the evidence was "nowhere near creating an issue of fact." (Tr. 64:12-65:14; R. 2511-2512.) That conclusion rests on

weighing, not on the absence of evidence. The court discussed only a few of the Borrowers' citations and did not address the December 2022 written complaints in SJ Notice Exhibits 47 and 50. (*Id.*) "By failing to credit evidence that contradicted some of its key factual conclusions, the court improperly 'weigh[ed] the evidence' and resolved disputed issues in favor of the moving party." *Tolan*, 572 U.S. at 657 (citing *Anderson*, 477 U.S. at 249).

Lender may point to Ms. Fowler's answer, "No, it has not," when asked whether the Borrowers had "provided written notice to the lender of a alleged default by the lender." (Fowler Dep. Vol. 2 at 65:13-18; R. 5209.) It may also point to Mr. Handelsman's acknowledgment that his emails were not "a legal official notice." (Handelsman Dep. Vol. 1 at 224:4-16; R. 5901.) Neither testimony entitles Lender to summary judgment. Ms. Fowler's characterization of the Borrowers' writings is contradicted by the writings themselves, and that conflict is for a jury. Mr. Handelsman, a layman, was asked whether he sent an "official" notice; the contract does not require one. In the same answer, he pointed to the emails: "if you look at the email we sent, I was writing so you guys are never releasing money to us." (*Id.*) Whether those writings "specifically set[] forth the default claimed" turns on what they say, not on a witness's label for them.

The summary judgment on Counts I and II, except as to the payoff theory the trial court preserved, should be reversed.

II. The same error stripped the Borrowers of their prior-breach defense to foreclosure, so the Final Judgment cannot stand.

A. Standard of review

Review is de novo. *Volusia County*, 760 So. 2d at 130. On appeal from a final judgment, this Court may review the interlocutory rulings that preceded it. Fla. R. App. P. 9.110(h). The Borrowers preserved this issue by opposing summary judgment on their defenses and objecting to any ruling beyond the Section 12.21(1) ground. (Opp. at 3-15; Tr. 119:21-124:9; R. 1789-1801; 2566-2571.)

B. The trial court applied its Section 12.21(1) ruling to the prior-breach defense.

The Borrowers' first affirmative defense was prior breach: Lender could not enforce the Loan Agreement because it first breached its own obligations to fund the reserves, approve leases, and provide a payoff. (R. 595; Opp. at 4-10.) *Fla. Hay & Land Developers, Inc. v. McDill Columbus Corp.*, 539 So. 2d 570, 571 (Fla. 1st DCA 1989). Lender's motion attacked the defenses on one ground only: the Section 12.21(1) notice argument. (Tr. 126:11-15; R. 2573.)

The trial court applied its Section 12.21(1) ruling on Counts I and II to the prior-breach defense: "same ruling with respect to the borrower's prior

breach defense." (Tr. 120:24-121:1; R. 2567-2568.) It ruled that the defense was "granted in part, denied in part in favor of plaintiff. It's denied in part only to the extent of defense. Factually, it's based on the prior, the payoff letter request." (Tr. 121:18-24.) When Lender's counsel confirmed that only "[p]ayoff-related defenses survive," the court agreed: "With respect to prior breach, so right, but otherwise, your motion is granted." (Tr. 127:6-12.) The court had already ruled that the Borrowers could not rely on Lender's "other alleged bad conduct." (Tr. 82:8-15.) The written Order adopts "the reasons stated by the Court on the record" and grants summary judgment on "all other claims of alleged breach or wrongdoing by Plaintiff unrelated to the Payoff Letter Issue." (Order at 2, ¶ 3(b); R. 3333-3334.)

C. Because the ruling was wrong, the Final Judgment should be vacated.

For the reasons addressed above, the record creates a genuine dispute about whether the Borrowers gave the notice Section 12.21(1) requires. The same record defeats summary judgment on the prior-breach defense. The trial court's ruling stripped the Borrowers of their principal defense to foreclosure: that Lender's own breaches, including its refusal to fund more than $16 million in reserves it held for the Borrowers' business plan, excused performance and barred enforcement.

The Borrowers did not abandon that defense when they stipulated to the Final Judgment. They expressly reserved "all rights to appeal the Stipulated Final Judgment and all orders entered before the entry of this Stipulated Final Judgment, . . . including, without limitation, the partial summary judgment order entered January 27, 2026." (Joint Stip. ¶ 3; Final J. ¶ 14; R. 2894; 3329.) Lender agreed that nothing in the stipulation, "including without limitation its stipulated nature, waives, limits, or impairs any right of Defendants to take any such appeal." (*Id.*) Florida law gives effect to such a reservation. *See Pac. Nat'l Bank, N.A. v. Home Tower Condo., Inc.*, 174 So. 3d 565, 566–67 (Fla. 4th DCA 2015) ("The law is clear that consent to entry of judgment without reservation of the right to appeal a particular claim bars an appeal . . . ."). The Borrowers reserved exactly the ruling challenged here. Because that ruling was erroneous and removed the defense on which the Borrowers would have contested foreclosure, the Final Judgment should be vacated and the case remanded for adjudication of the defense.

III. The trial court erred in entering summary judgment on the unjust enrichment counterclaim (Count IV) under Section 12.21(2).

A. Standard of review

Review is de novo. *Volusia County*, 760 So. 2d at 130. The

Borrowers preserved this issue by arguing below that Section 12.21(2) does not reach intentional, bad-faith conduct. (Opp. at 30-31; Tr. 87:21-88:18, 108:12-19; R. 1816-1817; 2534-2535, 2555.)

B. Section 12.21(2) does not reach the unjust enrichment claim.

Section 12.21(2) is narrow. It applies only "[i]f a claim or adjudication is made that Lender . . . has acted unreasonably or unreasonably delayed acting in any case where by law or under any Loan Document, Lender . . . has an obligation to act reasonably or promptly." (Loan Agreement § 12.21(2); R. 4506.) For that claim, Lender is not liable "for any monetary damages," and the borrower's remedy is injunctive or declaratory relief. (*Id.*)

The unjust enrichment counterclaim is not such a claim. It alleges that the Borrowers invested their own capital in the properties, including capital work, tenant allowances, leasing commissions, and property taxes that Lender's reserves should have funded, and that Lender will retain the benefit of those investments, along with default interest and late fees its own conduct caused, if it forecloses. (Countercl. ¶¶ 101-04; R. 620; Tr. 103:2-104:9; R. 2550-2551.) The claim seeks restitution of a benefit unjustly retained. It does not ask the court to decide whether Lender acted "unreasonably" when it had a duty to act "reasonably or promptly."

Clauses that relieve a party of liability are disfavored and are enforced only when their reach is unmistakable. "Exculpatory clauses are unambiguous and enforceable where the intention to be relieved from liability was made clear and unequivocal and the wording was so clear and understandable that an ordinary and knowledgeable person will know what he or she is contracting away." *Sanislo v. Give Kids the World, Inc.*, 157 So. 3d 256, 260–61 (Fla. 2015). Section 12.21(2) says nothing about restitution, retained benefits, or unjust enrichment. It cannot be stretched to cover them.

C. Section 12.21(2) cannot shield intentional misconduct.

Section 12.21(2) addresses unreasonable conduct, the language of negligence. It does not, and could not, release Lender from liability for intentional wrongdoing. "The law is settled that a party cannot contract against liability for his own fraud in order to exempt him from liability for an intentional tort, and any such exculpatory clauses are void as against public policy." *Mankap Enters., Inc. v. Wells Fargo Alarm Servs.*, 427 So. 2d 332, 333–34 (Fla. 3d DCA 1983); *accord Loewe v. Seagate Homes, Inc.*, 987 So. 2d 758, 760 (Fla. 5th DCA 2008) ("the exculpatory clause is obviously unenforceable to the extent that it attempts to release Seagate of liability for an intentional tort").

The Borrowers alleged, and the record supports, that Lender acted deliberately, not merely unreasonably. Ms. Fowler resisted a refinancing because "[t]he yield on this one is so good for the fund" and she was "not mad if I get to keep collecting my interest." (Fowler Dep. Vol. 1 at 126:5-17, 127:3-11; R. 5004-5005.) Lender's internal emails discussed "setting the stage for not funding on the taxes" and said, "We can withhold on any of it as we see fit." (*Id.* at 171:24-172:18; Callaghan Dep. at 163:3-164:1; R. 5049-5050; 7300-7301.) Whether Lender's conduct was intentional is a question for the jury, and Section 12.21(2) cannot resolve it on summary judgment.

D. A remedy-limitation clause is not an express contract covering the same subject matter.

The trial court held that Section 12.21(2) is "an express contract that covers the subject matter" of the unjust enrichment claim. (Tr. 109:10-111:14; R. 2556-2558.) The express-contract bar applies only where the contract concerns "the same subject matter" as the benefit for which restitution is sought. *Real Estate Value Co. v. Carnival Corp.*, 92 So. 3d 255, 263 n.2 (Fla. 3d DCA 2012). In *Real Estate Value*, the parties' contract "unambiguously d[id] not encompass" the benefit at issue, so "its existence did not preclude [the plaintiff] from advancing a claim for unjust enrichment." *Id.* Section 12.21(2) does not govern the value of

improvements the Borrowers funded with their own money or the windfall Lender will receive when it takes the properties. It governs only the remedy for a claim of unreasonable conduct. The summary judgment on Count IV should be reversed.

CONCLUSION

The Borrowers respectfully request that this Court (1) reverse the January 27, 2026 Order to the extent it granted summary judgment on Counts I, II, and IV of the Borrowers' counterclaim and on the Borrowers' prior-breach defense; (2) vacate the Stipulated Final Judgment of Foreclosure; and (3) remand for further proceedings.

Dated: October 16, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on October 16, 2026, I filed this brief through the Florida Courts E-Filing Portal, which served it on all counsel of record, including Alejandro M. Miyar, Esq. and Brian G. Rich, Esq., Berger Singerman LLP (amiyar@bergersingerman.com; brich@bergersingerman.com), and Lisa Wolgast, Esq. and Talia B. Wagner, Esq., Barnes & Thornburg LLP (lisa.wolgast@btlaw.com; talia.wagner@btlaw.com), counsel for Appellee.

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CERTIFICATE OF COMPLIANCE

I certify that this brief complies with Florida Rule of Appellate Procedure 9.045 because it is prepared in Arial 14-point font, and with the word limit of Florida Rule of Appellate Procedure 9.210 because it contains 6667 words, excluding the parts of the brief exempted by Rule 9.045(e).

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